CLOSING STATEMENT

Ivy Collegiate Commons | Kansas City, MO

Property	Ivy Collegiate Commons
Settlement Date	August 5, 2020
Buyer	Granite Lane Realty
Seller	Fenwick & Dale Investments
Sale Price	$34,020,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$34,020,000			
Earnest money deposit		$289,646	$289,646	
Real estate tax proration	$239,123			$239,123
Rent proration			$172,179	
Security deposits assumed	$128,817	$128,817		
Prepaid rents			$230,236	$230,236
Owner's title policy premium	$338,704			
Lender's title policy premium		$165,279	$165,279	
Escrow fee	$138,027			$138,027
Recording fees			$319,329	
Transfer tax	$83,981	$83,981		
Survey			$290,865	$290,865
Legal fees - Buyer	$321,287			
Legal fees - Seller		$87,449	$87,449	
Broker commission	$160,281			$160,281
Loan origination fee			$311,808	
Lender legal	$106,219	$106,219		
Appraisal fee			$311,111	$311,111
Environmental report	$201,673			
Property condition report		$321,207	$321,207	
Tax escrow deposit	$176,182			$176,182
Insurance escrow deposit			$224,371	
Replacement reserve deposit	$135,260	$135,260		
Utility deposits			$210,175	$210,175
Assumed vendor contracts credit	$220,815			

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$34,020,000			
Legal fees - Seller		$304,827	$304,827	
Broker commission	$164,108			$164,108
Loan origination fee			$279,113	
Lender legal	$121,710	$121,710		
Appraisal fee			$114,755	$114,755
Environmental report	$139,105			
Property condition report		$98,423	$98,423	
Tax escrow deposit	$334,401			$334,401
Insurance escrow deposit			$127,513	
Replacement reserve deposit	$293,949	$293,949		
Utility deposits			$217,591	$217,591
Assumed vendor contracts credit	$333,591			
Tenant improvement credit		$237,711	$237,711	
Courier / wire fees	$211,924			$211,924
Municipal certificates			$132,543	
Purchase price	$40,046	$40,046		
Earnest money deposit			$215,694	$215,694
Real estate tax proration	$190,904			
Rent proration		$174,289	$174,289	
Security deposits assumed	$84,020			$84,020
Prepaid rents			$336,159	
Owner's title policy premium	$337,687	$337,687		
Lender's title policy premium			$257,898	$257,898
Escrow fee	$30,852			
Recording fees		$258,554	$258,554	
Transfer tax	$269,930			$269,930
Survey			$131,016	

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Financial Analysis

The going-in capitalization rate of 5.03% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 89.4% with rental rates per bed averaging $1,012. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Effective gross income for the trailing period was $340,000, representing a 6.0% increase over the prior year.

Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Operating expenses totaled $204,000 or approximately 44.96 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $195,000, representing a 5.1% increase over the prior year. Debt service coverage ratio was 5.91x on a trailing basis against a covenant minimum of 1.20x.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Operating expenses totaled $183,000 or approximately 40.89 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.91% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $73,000, representing a 12.5% increase over the prior year. Operating expenses totaled $276,000 or approximately 34.27 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.50% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.93x on a trailing basis against a covenant minimum of 1.20x.

Valuation Discussion

Effective gross income for the trailing period was $153,000, representing a 10.2% increase over the prior year. Pre-leasing for the coming academic year stands at 93.6% with rental rates per bed averaging $1,012. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Operating expenses totaled $49,000 or approximately 17.05 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating expenses totaled $426,000 or approximately 37.62 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Debt service coverage ratio was 7.84x on a trailing basis against a covenant minimum of 1.20x.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$34,020,000			
Tenant improvement credit		$292,674	$292,674	
Courier / wire fees	$125,634			$125,634
Municipal certificates			$335,238	
Purchase price	$142,448	$142,448		
Earnest money deposit			$276,497	$276,497
Real estate tax proration	$118,530			
Rent proration		$115,659	$115,659	
Security deposits assumed	$148,435			$148,435
Prepaid rents			$307,715	
Owner's title policy premium	$32,903	$32,903		
Lender's title policy premium			$314,555	$314,555
Escrow fee	$220,398			
Recording fees		$109,210	$109,210	
Transfer tax	$97,776			$97,776
Survey			$272,115	
Legal fees - Buyer	$109,330	$109,330		
Legal fees - Seller			$27,664	$27,664
Broker commission	$45,215			
Loan origination fee		$95,821	$95,821	
Lender legal	$216,548			$216,548
Appraisal fee			$257,127	
Environmental report	$167,738	$167,738		
Property condition report			$41,547	$41,547
Tax escrow deposit	$34,370			
Insurance escrow deposit		$75,493	$75,493	
Replacement reserve deposit	$112,424			$112,424
Utility deposits			$239,356	

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Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Operating expenses totaled $271,000 or approximately 23.93 per square foot, with real estate taxes representing the largest line item.

Effective gross income for the trailing period was $36,000, representing a 7.9% increase over the prior year. Debt service coverage ratio was 6.91x on a trailing basis against a covenant minimum of 1.20x. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.60% reflects the in-place income and the stabilized occupancy assumption.

Valuation Discussion

Effective gross income for the trailing period was $281,000, representing a 11.6% increase over the prior year. Debt service coverage ratio was 7.40x on a trailing basis against a covenant minimum of 1.20x. Pre-leasing for the coming academic year stands at 92.6% with rental rates per bed averaging $1,012. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period.

Debt service coverage ratio was 5.93x on a trailing basis against a covenant minimum of 1.20x. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The going-in capitalization rate of 5.83% reflects the in-place income and the stabilized occupancy assumption. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Operating Performance

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Effective gross income for the trailing period was $450,000, representing a 8.8% increase over the prior year. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 96.6% with rental rates per bed averaging $1,012.

Debt service coverage ratio was 6.59x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $75,000, representing a 2.4% increase over the prior year. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Operating expenses totaled $216,000 or approximately 13.40 per square foot, with real estate taxes representing the largest line item. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$34,020,000			
Recording fees		$135,704	$135,704	
Transfer tax	$227,099			$227,099
Survey			$33,114	
Legal fees - Buyer	$216,424	$216,424		
Legal fees - Seller			$211,853	$211,853
Broker commission	$147,705			
Loan origination fee		$12,755	$12,755	
Lender legal	$226,272			$226,272
Appraisal fee			$187,648	
Environmental report	$261,554	$261,554		
Property condition report			$13,605	$13,605
Tax escrow deposit	$197,088			
Insurance escrow deposit		$90,506	$90,506	
Replacement reserve deposit	$11,401			$11,401
Utility deposits			$154,705	
Assumed vendor contracts credit	$319,471	$319,471		
Tenant improvement credit			$291,126	$291,126
Courier / wire fees	$99,473			
Municipal certificates		$201,240	$201,240	
Purchase price	$325,141			$325,141
Earnest money deposit			$267,530	
Real estate tax proration	$234,801	$234,801		
Rent proration			$317,581	$317,581
Security deposits assumed	$29,250			
Prepaid rents		$307,571	$307,571	
Owner's title policy premium	$292,486			$292,486
Lender's title policy premium			$316,481	

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Income and Expense Review

Debt service coverage ratio was 7.03x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The going-in capitalization rate of 5.36% reflects the in-place income and the stabilized occupancy assumption. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Operating expenses totaled $104,000 or approximately 25.35 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.58% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 92.9% with rental rates per bed averaging $1,012.

Valuation Discussion

The going-in capitalization rate of 7.89% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 91.4% with rental rates per bed averaging $1,012. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses.

Operating expenses totaled $80,000 or approximately 9.78 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 89.8% with rental rates per bed averaging $1,012. Effective gross income for the trailing period was $193,000, representing a 3.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. The going-in capitalization rate of 6.46% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.98x on a trailing basis against a covenant minimum of 1.20x.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. The going-in capitalization rate of 8.14% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 92.1% with rental rates per bed averaging $1,012. Operating expenses totaled $292,000 or approximately 28.78 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $435,000, representing a 10.3% increase over the prior year. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Operating expenses totaled $303,000 or approximately 19.82 per square foot, with real estate taxes representing the largest line item. The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$34,020,000			
Insurance escrow deposit		$138,314	$138,314	
Replacement reserve deposit	$117,272			$117,272
Utility deposits			$288,035	
Assumed vendor contracts credit	$291,693	$291,693		
Tenant improvement credit			$301,009	$301,009
Courier / wire fees	$308,728			
Municipal certificates		$305,924	$305,924	
Purchase price	$144,436			$144,436
Earnest money deposit			$130,563	
Real estate tax proration	$26,698	$26,698		
Rent proration			$30,991	$30,991
Security deposits assumed	$182,670			
Prepaid rents		$121,757	$121,757	
Owner's title policy premium	$36,415			$36,415
Lender's title policy premium			$144,196	
Escrow fee	$226,319	$226,319		
Recording fees			$194,433	$194,433
Transfer tax	$8,613			
Survey		$89,383	$89,383	
Legal fees - Buyer	$70,815			$70,815
Legal fees - Seller			$215,130	
Broker commission	$8,098	$8,098		
Loan origination fee			$173,303	$173,303
Lender legal	$162,302			
Appraisal fee		$134,015	$134,015	
Environmental report	$20,183			$20,183
Property condition report			$163,512	

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Financial Analysis

Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period. Pre-leasing for the coming academic year stands at 90.0% with rental rates per bed averaging $1,012. The going-in capitalization rate of 5.73% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $309,000, representing a 4.3% increase over the prior year. Debt service coverage ratio was 7.13x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Operating expenses totaled $225,000 or approximately 30.80 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Financial Analysis

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 7.15% reflects the in-place income and the stabilized occupancy assumption. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Operating expenses totaled $478,000 or approximately 38.64 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 92.2% with rental rates per bed averaging $1,012.

The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 6.40% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 92.4% with rental rates per bed averaging $1,012.

Operating Performance

Operating expenses totaled $354,000 or approximately 37.04 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 90.5% with rental rates per bed averaging $1,012. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Debt service coverage ratio was 7.83x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $65,000, representing a 8.1% increase over the prior year. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Operating expenses totaled $350,000 or approximately 46.00 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.76% reflects the in-place income and the stabilized occupancy assumption. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Effective gross income for the trailing period was $359,000, representing a 3.8% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$34,020,000			
Prepaid rents		$334,295	$334,295	
Owner's title policy premium	$87,257			$87,257
Lender's title policy premium			$182,763	
Escrow fee	$78,118	$78,118		
Recording fees			$192,575	$192,575
Transfer tax	$311,745			
Survey		$226,839	$226,839	
Legal fees - Buyer	$211,648			$211,648
Legal fees - Seller			$100,572	
Broker commission	$212,272	$212,272		
Loan origination fee			$301,791	$301,791
Lender legal	$322,097			
Appraisal fee		$238,550	$238,550	
Environmental report	$27,168			$27,168
Property condition report			$61,805	
Tax escrow deposit	$281,525	$281,525		
Insurance escrow deposit			$31,561	$31,561
Replacement reserve deposit	$84,749			
Utility deposits		$79,513	$79,513	
Assumed vendor contracts credit	$213,061			$213,061
Tenant improvement credit			$20,507	
Courier / wire fees	$129,198	$129,198		
Municipal certificates			$253,861	$253,861
Purchase price	$264,952			
Earnest money deposit		$48,292	$48,292	
Real estate tax proration	$54,827			$54,827
Rent proration			$46,622	

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Operating expenses totaled $172,000 or approximately 22.40 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $321,000, representing a 8.0% increase over the prior year. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $378,000 or approximately 32.35 per square foot, with real estate taxes representing the largest line item. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Effective gross income for the trailing period was $344,000, representing a 4.1% increase over the prior year. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period.

Income and Expense Review

Effective gross income for the trailing period was $123,000, representing a 6.3% increase over the prior year. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.47x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $283,000 or approximately 46.11 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Pre-leasing for the coming academic year stands at 94.1% with rental rates per bed averaging $1,012. Debt service coverage ratio was 6.01x on a trailing basis against a covenant minimum of 1.20x. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. Pre-leasing for the coming academic year stands at 92.0% with rental rates per bed averaging $1,012. The going-in capitalization rate of 5.52% reflects the in-place income and the stabilized occupancy assumption. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Debt service coverage ratio was 7.34x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $111,000, representing a 3.8% increase over the prior year. The going-in capitalization rate of 6.00% reflects the in-place income and the stabilized occupancy assumption. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Ivy Collegiate Commons Owner LLC

By: Tina Hughes Title: Managing Member Date: 08/05/2020

_____

Michael Moreno

By: Grace Garcia Title: President Date: 08/05/2020

Exhibit A - Property

Ivy Collegiate Commons, 7699 Commerce Boulevard, Kansas City, MO 95864. Parcel containing approximately 28.82 acres, together with all improvements thereon.

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